



United States
Attorney's Office
District of New Jersey



New Jersey Pain Clinic Admits Health Care Fraud And Agrees To Criminal And Civil Penalties

Thursday, March 20, 2025

For Immediate Release

U.S. Attorney's Office, District of New Jersey

CAMDEN, N.J. – A pain clinic with locations in Atlantic, Cape May, and Cumberland Counties admitted to overbilling insurance companies for services provided, U.S. Attorney John Giordano announced today.

Pain Specialists, P.A., with locations in Northfield, Vineland, and Cape May Courthouse, New Jersey, pleaded guilty before U.S. District Judge Karen M. Williams to an information charging it with health care fraud. Pain Specialists also signed a civil settlement with the United States to resolve allegations that it violated the False Claims Act.

According to documents filed in this case, statements made in court, and the terms of the civil settlement:

Pain Specialists was owned by a physician specializing in anesthesia and pain management ("Individual-1"). On various dates between November 2015 and January 2020 when Individual-1 was traveling and not physically present at a Pain Specialists location, Pain Specialists used Individual-1's National Provider Identifier ("NPI") number to bill Medicare, Medicaid, and private insurance plans for services and procedures requiring Individual-1's in-person consultation or Individual-1's direct supervision of the rendering provider. Pain Specialists received approximately \$58,365.26 for services purportedly rendered by Individual-1 or directly supervised by him while he was traveling and out of the office.

In addition, Pain Specialists entered a civil settlement with the United States to resolve allegations that, between January 2014 and November 2020, Pain Specialists improperly listed a physician as the rendering provider for services that were provided by a non-physician practitioner when no physician was present in the office, in violation of Medicare's "incident-to billing" requirements and in violation of Medicaid's requirement that providers bill under their own NPI number.

Pain Specialists agreed to pay criminal restitution of \$58,365.26, a criminal fine of \$81,711.36, and a civil settlement of \$240,000. The claims resolved by the civil settlement are allegations only and there has

been no determination of liability.

U.S. Attorney Giordano credited special agents of the U.S. Department of Health and Human Services, Office of Inspector General, Office of Investigations-New Jersey Field Office, under the Direction of Special Agent in Charge Naomi Gruchacz; special agents of the FBI Atlantic City Resident Agency and the Healthcare Fraud Task Force, under the direction of Acting Special Agent in Charge Terence G. Reilly in Newark; and special agents and diversion investigators of the U.S. Drug Enforcement Administration, New Jersey Division, under the direction of Special Agent in Charge Cheryl Ortiz.

The government is represented by Assistant U.S. Attorneys Daniel A. Friedman of the U.S. Attorney’s Office’s Criminal Division and Susan Pappy of the Health Care Fraud Unit, and Trial Attorney Daniel Meyler of the Department of Justice’s Civil Division, Commercial Litigation Branch (Fraud Section).

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Defense counsel:

Riza I. Dagli Esq., Roseland, New Jersey

[pain_specialists.information.pdf](#) [pain_specialists.civil_settlement_agreement.pdf](#)

Updated March 20, 2025

Topic

FINANCIAL FRAUD

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Press Release Number: 25-082

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